INVESTMENT COMMITTEE MEMORANDUM

Media & Entertainment Private Credit

Crescent Harbor Media Holdings, LLC

$75.0 Million Senior Secured Unitranche Borrowing Base Facility

Illustrative transaction — not a real client engagement

Borrower	Crescent Harbor Media Holdings, LLC
Facility Size	$75,000,000
Facility Type	Senior Secured Unitranche Borrowing Base Facility
Pricing	SOFR + 6.50% (10.13% all-in at 3.63% SOFR)
Tenor	5 years — closing 19 November 2026, maturity 31 December 2031
Credit Rating	3 — Watch
Overall Credit Score	3.22 / 5.00
Recommendation	Approve with Conditions
Prepared By	Tanmay Srivastava

This memorandum presents an underwriting of a $75.0 million media-library-backed private credit facility. It covers borrowing-base mechanics, covenant structuring, sensitivity and scenario analysis, and recovery modeling. The credit recommendation is **Approve with Conditions**, supported by an overall score of 3.22. Downside borrowing-base performance and maturity refinancing risk are the binding credit issues.

All figures and entities are illustrative and constructed for modeling demonstration purposes only. Public market references are cited to source; all other inputs are labeled as illustrative assumptions.

1. EXECUTIVE SUMMARY

RECOMMENDATION	CREDIT RATING	OVERALL SCORE	EXPECTED NET YIELD
Approve with Conditions	**3 — Watch**	**3.22 / 5.00**	**8.23%**

Investment thesis

An asset-backed first-lien facility supported by 1.23x borrowing-base coverage, 42.0% loan-to-value and an 8.2% expected net yield. Repayment relies on borrowing-base discipline and controlled cash collections rather than enterprise value. Approval is conditioned on curing downside borrowing-base pressure and maturity liquidity risk.

Decision rationale

Base-case cash flow and collateral coverage are adequate, but the credit is not clean: the downside borrowing base falls short of full principal coverage and the facility carries a substantial bullet at maturity. Structural protections — cash control, cure rights and a documented takeout plan — are required rather than optional.

Key credit strengths

- Diversified collateral pool spanning media library, tax credits, international pre-sales, receivables and cash.
- Current borrowing-base headroom of $17.6 million against a $92.6 million base.
- Modeled present-value recovery of 100.0% of principal, with first-lien structural protection and a 1.9-year expected workout timeline.

Principal risks

- Downside borrowing-base coverage of **0.97x** — below full principal coverage.
- Minimum pre-maturity DSCR declines to **1.20x** by Year 4 as library cash flow decays.
- Modeled maturity cash shortfall of **$57.2 million** — refinancing risk is the binding constraint.

Facility metrics at close

Facility Size	$75.0mm	Loan-to-Value	42.0%
Borrowing Base	$92.6mm	Minimum Pre-Maturity DSCR	1.20x
Borrowing Base Coverage	1.23x	Downside DSCR	1.32x
Gross Collateral Coverage	2.15x	Minimum Interest Coverage	1.47x
Borrowing Base Utilization	81.0%	Expected Gross Yield	11.0%
Library Value	$132.0mm	Expected Net Yield	8.2%
Year 1 DSCR	1.90x	Expected Recovery	100.0%
Borrowing Base Headroom	**$17.6mm**	**Maturity Cash Shortfall**	**($57.2mm)**

Covenant and threshold status

Test	Threshold	Status
DSCR	1.25x minimum	● MODERATE RISK
Loan-to-Value	50.0% maximum	● STRONG
Borrowing Base Coverage	1.10x minimum	● STRONG
Downside Borrowing Base Coverage	1.00x minimum	● HIGH RISK
Recovery	90.0% minimum	● STRONG
Interest Coverage	1.50x minimum	● MODERATE RISK

LENDER TAKEAWAY

Base collateral and cash-flow metrics support continued underwriting, but downside borrowing-base coverage of 0.97x and a modeled maturity cash shortfall of $57.2 million require tighter covenants, cash control and a credible takeout plan.

2. TRANSACTION OVERVIEW

What is being financed, on what terms, and against what collateral.

Borrower	Crescent Harbor Media Holdings, LLC
Facility Type	Senior Secured Unitranche Borrowing Base Facility
Facility Amount	$75,000,000
Purpose	Refinancing, working capital and selective content investment
Collateral Package	Media library, tax credits, international pre-sales, receivables, cash and other eligible assets
Security Position	First-priority perfected security interest; subject to customary permitted liens
Jurisdiction	Delaware, United States
Interest Structure	SOFR + 6.50%, floating; quarterly
Tenor	5 years
Closing Date	19 November 2026
Maturity	31 December 2031
Sources & Uses	Illustrative — refinance existing obligations and fund permitted business purposes

Investment summary

The proposed $75.0 million facility is supported by a diversified borrowing base with 2.15x eligible collateral coverage and a base-case DSCR of 1.90x. The structure relies on borrowing-base discipline and controlled cash collections rather than enterprise value alone.

> **LENDER TAKEAWAY**
> The proposed $75.0 million first-lien facility relies on borrowing-base discipline and controlled cash collections rather than enterprise value alone.

3. KEY ASSUMPTIONS

Which assumptions drive valuation, liquidity, recovery and credit risk. All inputs are centralized; illustrative inputs require confirmatory diligence before approval.

Valuation and revenue

Assumption	Value	Note
Discount Rate	8.00%	Editable underwriting input
Terminal Growth Rate	2.00%	Used in library terminal value
Year 1 Gross Revenue	$25,000,000	Hypothetical portfolio revenue
Revenue Decay — Year 2	(20.0%)	Editable
Revenue Decay — Year 3	(20.0%)	Editable
Revenue Decay — Year 4	(15.0%)	Editable
Revenue Decay — Year 5	(5.0%)	Editable
Revenue Decay — Years 6–10	(3.0%)	Applied annually

Revenue channel mix

Channel	Mix	Channel	Mix	Channel	Mix	
SVOD	28.0%	Broadcast	12.0%	Airline	3.0%	
AVOD	10.0%	International TV	14.0%	Educational	3.0%	
FAST	8.0%	Transactional VOD	10.0%	Physical Media	5.0%	
				Other Licensing	7.0%	
Total	**100.0%**	**Channel mix check**				**PASS**

Revenue waterfall deductions

Deduction	Rate	Basis
Distribution Fee	20.0%	Applied to gross revenue
Residuals	5.0%	Applied to gross revenue
Guild Payments	2.5%	Applied to gross revenue
Participations	2.5%	Applied to gross revenue
Collection Account Fee	1.0%	Applied to gross revenue
Total deductions	**31.0%**	Cash flow retained: 69.0% of gross revenue

Debt terms

Term	Value	Note
SOFR	3.63%	Federal Reserve Bank of New York, as of 6 July 2026
Credit Spread	6.50%	Illustrative underwriting term
All-in Coupon	10.13%	Floating
Original Issue Discount	2.00%	Discount to par
Upfront Fee	1.50%	On commitments
Exit Fee	1.00%	On original principal
Mandatory Amortization	2.00%	Of original principal, annually
Cash Sweep	50.0%	Of excess cash flow after mandatory debt service
Bullet at Maturity	90.0%	Before effect of sweep

Collateral, advance rates and haircuts

Collateral	Gross Value	Advance Rate	Haircut
Media Library	$132.0mm	50.0%	10.0%
Tax Credits	$18.5mm	85.0%	5.0%
International Pre-sales	$12.0mm	70.0%	10.0%
Receivables	$8.0mm	75.0%	15.0%
Cash	$5.0mm	100.0%	—
Other Assets	$3.0mm	25.0%	25.0%
Total	**$178.5mm**		

Media library gross value is calculated from the discounted cash flow in Section 4. All other collateral values are illustrative assumptions and are not public transaction data.

Credit risk and recovery assumptions

Credit Risk Input	Value	Liquidation Recovery	Rate	Basis
Recovery Rate (portfolio)	65.0%	Library	65.0%	Illustrative
Probability of Default	8.0%	Tax Credits	90.0%	Illustrative
Loss Given Default	35.0%	Receivables	75.0%	Illustrative
Recovery Timing	2.0 yrs	Pre-sales	70.0%	Illustrative
Inflation	2.5%	Cash	100.0%	Illustrative
USD FX Rate	1.00x	Other Assets	25.0%	Illustrative

> **LENDER TAKEAWAY**
> All material underwriting assumptions are centralized in a single input layer and flow through valuation, borrowing base, debt service and recovery. Illustrative inputs require confirmatory diligence before approval.

4. MEDIA LIBRARY VALUATION

What is the present value of recurring library cash flow after decay and waterfall deductions?

Discounted cash flow — Years 1 to 5

Revenue Channel ($mm)	Year 1	Year 2	Year 3	Year 4	Year 5
SVOD	7.00	5.60	4.48	3.81	3.62
AVOD	2.50	2.00	1.60	1.36	1.29
FAST	2.00	1.60	1.28	1.09	1.03
Broadcast	3.00	2.40	1.92	1.63	1.55
International TV	3.50	2.80	2.24	1.90	1.81
Transactional VOD	2.50	2.00	1.60	1.36	1.29
Airline	0.75	0.60	0.48	0.41	0.39
Educational	0.75	0.60	0.48	0.41	0.39
Physical Media	1.25	1.00	0.80	0.68	0.65
Other Licensing	1.75	1.40	1.12	0.95	0.90
Gross Revenue	**25.00**	**20.00**	**16.00**	**13.60**	**12.92**
Revenue Growth / Decay	—	*(20%)*	*(20%)*	*(15%)*	*(5%)*
Less: Distribution Fee (20.0%)	(5.00)	(4.00)	(3.20)	(2.72)	(2.58)
Less: Residuals (5.0%)	(1.25)	(1.00)	(0.80)	(0.68)	(0.65)
Less: Guild Payments (2.5%)	(0.63)	(0.50)	(0.40)	(0.34)	(0.32)
Less: Participations (2.5%)	(0.63)	(0.50)	(0.40)	(0.34)	(0.32)
Less: Collection Account (1.0%)	(0.25)	(0.20)	(0.16)	(0.14)	(0.13)
Annual Free Cash Flow	**17.25**	**13.80**	**11.04**	**9.38**	**8.91**
Discount Factor @ 8.0%	*0.926*	*0.857*	*0.794*	*0.735*	*0.681*
Present Value of FCF	**15.97**	**11.83**	**8.76**	**6.90**	**6.07**

Discounted cash flow — Years 6 to 10

Revenue Channel ($mm)	Year 6	Year 7	Year 8	Year 9	Year 10
SVOD	3.51	3.40	3.30	3.20	3.11
AVOD	1.25	1.22	1.18	1.14	1.11
FAST	1.00	0.97	0.94	0.92	0.89
Broadcast	1.50	1.46	1.42	1.37	1.33
International TV	1.75	1.70	1.65	1.60	1.55
Transactional VOD	1.25	1.22	1.18	1.14	1.11
Airline	0.38	0.36	0.35	0.34	0.33
Educational	0.38	0.36	0.35	0.34	0.33
Physical Media	0.63	0.61	0.59	0.57	0.55

Revenue Channel ($mm)	Year 6	Year 7	Year 8	Year 9	Year 10
Other Licensing	0.88	0.85	0.83	0.80	0.78
Gross Revenue	**12.53**	**12.16**	**11.79**	**11.44**	**11.09**
Revenue Growth / Decay	*(3%)*	*(3%)*	*(3%)*	*(3%)*	*(3%)*
Less: Distribution Fee (20.0%)	(2.51)	(2.43)	(2.36)	(2.29)	(2.22)
Less: Residuals (5.0%)	(0.63)	(0.61)	(0.59)	(0.57)	(0.55)
Less: Guild Payments (2.5%)	(0.31)	(0.30)	(0.29)	(0.29)	(0.28)
Less: Participations (2.5%)	(0.31)	(0.30)	(0.29)	(0.29)	(0.28)
Less: Collection Account (1.0%)	(0.13)	(0.12)	(0.12)	(0.11)	(0.11)
Annual Free Cash Flow	**8.65**	**8.39**	**8.14**	**7.89**	**7.66**
Discount Factor @ 8.0%	*0.630*	*0.583*	*0.540*	*0.500*	*0.463*
Present Value of FCF	**5.45**	**4.89**	**4.40**	**3.95**	**3.55**

Valuation summary

Component	Value	% of NPV
Present value of explicit forecast (Years 1–10)	$71.8mm	54.3%
Terminal value at Year 10 (2.0% growth)	$130.1mm	—
Present value of terminal value	$60.3mm	45.7%
Total Library NPV	**$132.0mm**	**100.0%**

LENDER TAKEAWAY

Library value is $132.0 million, but terminal value represents 46% of total NPV and remains sensitive to discount rate and long-tail decay assumptions. Advance rates and haircuts are set accordingly.

5. REVENUE WATERFALL AND CASH AVAILABLE FOR DEBT SERVICE

How much cash remains available for debt service after contractual deductions?

Waterfall Step ($mm)	Year 1	Year 2	Year 3	Year 4	Year 5
Gross Revenue	**25.00**	**20.00**	**16.00**	**13.60**	**12.92**
Less: Distribution Fee	(5.00)	(4.00)	(3.20)	(2.72)	(2.58)
Less: Residuals	(1.25)	(1.00)	(0.80)	(0.68)	(0.65)
Less: Guild Payments	(0.63)	(0.50)	(0.40)	(0.34)	(0.32)
Less: Participations	(0.63)	(0.50)	(0.40)	(0.34)	(0.32)
Less: Collection Account	(0.25)	(0.20)	(0.16)	(0.14)	(0.13)
Available Cash Flow	**17.25**	**13.80**	**11.04**	**9.38**	**8.91**
Less: Total Debt Service	(13.17)	(11.17)	(9.58)	(8.60)	(66.12)
Cash Remaining	**4.08**	**2.63**	**1.46**	**0.79**	**(57.21)**

LENDER TAKEAWAY

Available cash flow declines from $17.3 million to $8.9 million as the library seasons, reducing debt-service flexibility. Year 5 cash remaining is negative because the maturity bullet exceeds the year's available cash flow.

6. BORROWING BASE

How much lendable value remains after eligibility tests, haircuts and advance rates?

Collateral	Gross Value	Adv. Rate	Haircut	Eligible Value	Borrowing Base	% of BB
Media Library	$132.0mm	50.0%	10.0%	$118.8mm	$59.4mm	64.2%
Tax Credits	$18.5mm	85.0%	5.0%	$17.6mm	$14.9mm	16.1%
International Pre-sales	$12.0mm	70.0%	10.0%	$10.8mm	$7.6mm	8.2%
Receivables	$8.0mm	75.0%	15.0%	$6.8mm	$5.1mm	5.5%
Cash	$5.0mm	100.0%	—	$5.0mm	$5.0mm	5.4%
Other Assets	$3.0mm	25.0%	25.0%	$2.3mm	$0.6mm	0.6%
Total	**$178.5mm**			**$161.3mm**	**$92.6mm**	**100.0%**

Facility coverage

Facility Size	$75.0mm	**Borrowing Base Coverage**	1.23x
Borrowing Base	$92.6mm	**Gross Collateral Coverage**	2.15x
Unused Capacity	$17.6mm	**Loan-to-Value**	42.0%
Borrowing Base Utilization	81.0%		

LENDER TAKEAWAY

The $92.6 million borrowing base covers the facility by 1.23x. This is distinct from the 2.15x gross eligible collateral coverage, and the narrower measure is the one that governs availability.

7. DEBT STRUCTURE AND SERVICE

Do pricing, amortization and lender economics compensate for the modeled risk?

Lender economics

Component	Value	Note
Expected Gross Yield	11.03%	Coupon plus amortized fees and OID
Expected Credit Loss	(2.80%)	Probability of default × loss given default
Expected Net Yield	**8.23%**	**Risk-adjusted return to lenders**

Debt service schedule

Metric ($mm unless noted)	Year 1	Year 2	Year 3	Year 4	Year 5
Opening Balance	75.00	69.42	65.29	62.33	60.04
Cash Interest	7.60	7.03	6.61	6.31	6.08
Mandatory Amortization	1.50	1.50	1.50	1.50	1.50
Cash Sweep / Bullet	4.08	2.63	1.46	0.79	58.54
Total Debt Service	**13.17**	**11.17**	**9.58**	**8.60**	**66.12**
Ending Balance	69.42	65.29	62.33	60.04	0.00
Interest Coverage	**2.27x**	**1.96x**	**1.67x**	**1.49x**	**1.47x**
DSCR	**1.90x**	**1.62x**	**1.36x**	**1.20x**	**0.13x**
Cash Remaining	**4.08**	**2.63**	**1.46**	**0.79**	**(57.21)**

Year 5 DSCR of 0.13x reflects the maturity bullet, which is expected to be refinanced rather than amortized from operating cash flow. Minimum pre-maturity DSCR is 1.20x in Year 4.

LENDER TAKEAWAY

Expected net yield is 8.2% after modeled credit loss. Minimum pre-maturity DSCR is 1.20x and maturity cash coverage falls short by $57.2 million, making refinancing risk the binding credit issue.

8. SENSITIVITY ANALYSIS

Which valuation and coverage assumptions most quickly erode lender protection?

Discount rate

Discount Rate	6.0%	8.0%	10.0%	12.0%
Library Value	$186.7mm	**$132.0mm**	$104.2mm	$87.2mm

Revenue decline

Revenue Multiplier	1.00x	0.90x	0.80x	0.70x
Borrowing Base	**$92.6mm**	$83.3mm	$74.1mm	$64.8mm
Coverage	**1.23x**	1.11x	**0.99x**	**0.86x**

Interest rate

Rate Increase	+0 bps	+100 bps	+200 bps	+300 bps
Year 1 DSCR	**1.90x**	1.75x	1.63x	1.52x

Library advance rate

Library Advance Rate	40.0%	50.0%	60.0%	70.0%
Borrowing Base	$80.7mm	**$92.6mm**	$104.5mm	$116.4mm
Facility Utilization	92.9%	**81.0%**	71.8%	64.5%

> **LENDER TAKEAWAY**
> Coverage falls below 1.00x at approximately a 20% borrowing-base reduction, while rate stress remains manageable in Year 1. Collateral deterioration — not pricing — is the more binding risk.

9. SCENARIO ANALYSIS

How does the facility perform under coordinated revenue, collateral and rate stress?

Driver	Base Case	Downside	Severe Downside
Revenue Multiplier	1.00x	0.85x	0.70x
Tax Credits Multiplier	1.00x	0.90x	0.75x
Pre-sales Multiplier	1.00x	0.85x	0.65x
Distribution Fee	20.0%	23.0%	27.0%
Interest Rate Increase	—	+200 bps	+400 bps
Additional Haircut	—	10.0%	20.0%

Modeled outcomes

Output	Base Case	Downside	Severe Downside
Library Value	$132.0mm	$101.0mm	$73.9mm
Borrowing Base	$92.6mm	$72.9mm	$54.7mm
Borrowing Base Coverage	**1.23x**	**0.97x**	**0.73x**
DSCR	**1.90x**	**1.32x**	**0.90x**
Facility Utilization	81.0%	102.8%	137.1%

LENDER TAKEAWAY

Downside DSCR holds at 1.32x, but borrowing-base coverage declines to 0.97x and utilization exceeds 100%, triggering an equity cure or mandatory paydown. In the severe case both cash flow and collateral fail simultaneously.

10. RECOVERY ANALYSIS

What principal recovery is expected after liquidation haircuts and timing discounts?

Collateral	Eligible Value	Recovery %	Gross Recovery	Timing	PV
Media Library	$118.8mm	65.0%	$77.2mm	2.0 yrs	$66.2mm
Tax Credits	$17.6mm	90.0%	$15.8mm	2.0 yrs	$13.6mm
International Pre-sales	$10.8mm	70.0%	$7.6mm	2.0 yrs	$6.5mm
Receivables	$6.8mm	75.0%	$5.1mm	2.0 yrs	$4.4mm
Cash	$5.0mm	100.0%	$5.0mm	—	$5.0mm
Other Assets	$2.3mm	25.0%	$0.6mm	2.0 yrs	$0.5mm
Total	**$161.3mm**		**$111.3mm**	**1.9 yrs**	**$96.1mm**

Recovery outcome

Total PV Recovery	$96.1mm	**Recovery on Principal**	**100.0%**
Principal Outstanding	$75.0mm	**Loss Severity**	0.0%
Excess Coverage	$21.1mm	**Expected Recovery Timeline**	1.9 years

LENDER TAKEAWAY

Modeled present-value recovery covers principal in full with a 1.9-year expected timeline, and the recovery is capped at 100% rather than credited with the excess. Legal enforceability and appraisal quality remain the key execution risks.

11. CREDIT COMMITTEE SCORECARD

Does the weighted credit profile justify approval at the proposed structure?

Category	Weight	Score	Weighted	Rationale
Collateral Quality	20%	4	0.80	Diversified collateral with modeled haircuts
Cash Flow Stability	18%	3	0.54	Contractual and long-tail revenues offset decay risk
Diversification	12%	3	0.36	Multiple channels; counterparty limits required
Legal Structure	12%	4	0.48	First lien, controlled accounts, covenant package
Management	10%	3	0.30	Hypothetical; full diligence required
Liquidity	10%	3	0.30	Borrowing base headroom subject to stress
Market Risk	10%	2	0.20	Secular content monetization and rate volatility
Counterparty Risk	8%	3	0.24	Requires approved obligor and concentration framework
Overall Score	**100%**		**3.22**	**Recommendation: Watch / restructure terms**

LENDER TAKEAWAY

> The weighted score of 3.22 supports only a conditional outcome, because downside collateral coverage does not meet the approval threshold.

12. RISK MATRIX

What can impair repayment, and which mitigants must be embedded in documentation?

Risk	Probability	Impact	Mitigation	Residual	Status
Library revenue decay exceeds base case	Medium	High	Conservative advance rate, reappraisals, cash sweep	Medium	Monitor
Valuation volatility and appraisal risk	Medium	High	Independent appraisal and borrowing base redetermination	Medium	Monitor
Platform or distributor concentration	Medium	High	Eligibility limits, concentration caps, account control	Medium	Monitor
Documentation / chain-of-title deficiency	Low	High	Legal diligence, perfection, title representations	Low-Medium	*Critical diligence*
Floating-rate burden	Medium	Medium	Minimum DSCR, hedging requirement, cash sweep	Medium	Monitor
Tax credit timing delay	Medium	Medium	Haircuts, jurisdictional diligence, reserves	Low-Medium	Monitor
Pre-sale counterparty default	Low-Medium	Medium	Approved counterparties and lender-controlled notices	Low-Medium	Monitor

LENDER TAKEAWAY

The highest-severity risks are revenue decay, valuation volatility, platform concentration and chain-of-title defects. Mitigation depends on controls and documentation, not on forecast precision.

13. STRUCTURAL CONDITIONS

Required covenants

- Minimum DSCR of 1.25x, with a cash trap triggered below 1.35x.
- Maximum loan-to-value of 50%, with mandatory paydown above the threshold.
- Minimum borrowing-base coverage of 1.10x, with immediate cure required below 1.00x.
- Quarterly borrowing-base certificates and semiannual independent library appraisals.
- Controlled collection accounts, approved counterparties, concentration limits and a full cash sweep.

Conditions precedent

- Independent third-party library appraisal and verified chain of title.
- Perfection of first-priority liens and lender-controlled collection accounts.
- Validation of tax-credit eligibility, timing and assignability.
- Counterparty diligence and executed notices for material pre-sales and receivables.
- Maturity takeout plan, liquidity reserve and interest-rate hedging acceptable to lenders.

Ongoing monitoring

- Monthly cash collections, waterfall performance and covenant reporting.
- Quarterly DSCR, interest coverage, borrowing-base utilization and counterparty concentration.
- Semiannual collateral reappraisal and advance-rate redetermination.

– Immediate reporting of title disputes, tax-credit delays or distributor defaults.
– Annual recovery review, with refinancing progress tracked from 24 months before maturity.

LENDER COMMENTARY

Base metrics support a conditional approval, but the structure must convert modeled collateral value into enforceable liquidity. The binding issues are downside borrowing-base coverage, declining debt-service capacity and the maturity bullet.

14. COMPARABLE TRANSACTIONS

How do publicly disclosed media credit structures inform pricing and covenant design?

Company	Year	Facility	Pricing	Collateral / Covenant	Source
Reservoir Media, Inc.	2025	$550mm	SOFR + 2.00%–2.25% on a total leverage grid	Substantially all tangible and intangible assets; 0.45x maximum value-to-loan covenant	SEC Form 8-K and credit agreement, 19 Mar 2025
Lions Gate Capital Holdings LLC	2024	$1,250mm	SOFR + 1.75%–2.25% depending on leverage	First-priority liens on substantially all assets of the credit parties	SEC Form 10-Q credit facilities disclosure, 27 Nov 2024
Sphere Entertainment Co.	2024	$1,400mm	SOFR + 2.50%–2.75% depending on leverage	First-priority lien on substantially all assets of Sphere and subsidiary guarantors	SEC Form 8-K, term loan facility, 2 Dec 2024
AMC Networks Inc.	2023	$400mm	Not publicly disclosed in cited summary	Senior secured revolving credit facility	SEC Form 8-K credit agreement, 28 Nov 2023

Advance rates and loan-to-value terms are not publicly disclosed for any of the comparable transactions above, other than the Reservoir value-to-loan covenant.

LENDER TAKEAWAY

Public transactions support first-lien collateral packages and floating-rate pricing, but disclosed terms are corporate-leverage structures and are not directly comparable to the modeled borrowing-base risk.

15. MARKET DATA

Which public market references are verifiable and relevant to underwriting?

Metric	Value	Source	As of
Global Private Credit AUM	$1.7tn	IMF, Global Financial Stability Report, April 2024, Chapter 2	16 Apr 2024
Private Credit Market Size incl. Committed Capital	$2.1tn	IMF, Global Financial Stability Report, April 2024, Chapter 2	16 Apr 2024
SOFR	3.63%	Federal Reserve Bank of New York / FRED, SOFR series	6 Jul 2026
Entertainment Financing Market Size	n/a	No reliable public aggregate identified; no estimate used	—

LENDER TAKEAWAY

Market references provide context only. Transaction approval must rely on deal-specific collateral, contracts, diligence and covenant protection.

16. MODEL VALIDATION

Check	Result	Note
Required inputs complete	PASS	All input cells populated
Channel mix sums to 100%	PASS	Ten revenue channels
Debt roll-forward ties	PASS	Opening less repayments equals closing
Key formula outputs	PASS	Coverage, DSCR and recovery recalculate
Borrowing base coverage threshold	PASS	1.23x against a 1.10x minimum
Downside DSCR threshold	PASS	1.32x against a 1.25x minimum
Maturity cash coverage	FAIL	$57.2 million shortfall at maturity
Calculation chain integrity	PASS	No circular linkages identified

17. SOURCES AND BIBLIOGRAPHY

Item	Publication	Date	Reference
Global Private Credit AUM and Market Size	IMF, Global Financial Stability Report, April 2024 — Chapter 2	16 Apr 2024	imf.org — private credit AUM c. $1.7tn; assets plus committed capital c. $2.1tn
SOFR	Federal Reserve Bank of New York / St. Louis Fed, SOFR series	6 Jul 2026	fred.stlouisfed.org/series/SOFR — observed rate used: 3.63%
Reservoir Media credit facility	SEC — Form 8-K and credit agreement	19 Mar 2025	sec.gov — $550mm revolving facility; SOFR margin; value-to-loan covenant
Lions Gate credit facilities	SEC — Lions Gate Entertainment Corp. Form 10-Q	27 Nov 2024	sec.gov — $1.25bn revolver; SOFR spread; first-priority collateral
Sphere Entertainment term loan	SEC — Sphere Entertainment Co. Form 8-K	2 Dec 2024	sec.gov — $1.4bn term loan; SOFR margin; asset collateral
AMC Networks revolving credit facility	SEC — AMC Networks Inc. Form 8-K	28 Nov 2023	sec.gov — $400mm revolver

NOTE ON SOURCING

Only cited public sources are retained. All other inputs are explicitly labeled as illustrative assumptions and should not be represented as market observations.

Prepared for investment committee review. Illustrative assumptions remain subject to confirmatory diligence and final documentation. Crescent Harbor Media Holdings, LLC is a fictional entity and this memorandum does not describe a real client engagement.